Major financial decisions.
Easier to understand. Easier to explain.

4orm's Position

4orm Finance is building 4ormIQ: counseling-centered AI tools that connect with a business's existing apps and compliance systems that assist the business to validate the risk assessment and due diligence process to back up the client's financial decisions.

The Challenge. Why now?

New Compliance, AML and Regulation Rules, Larger Penalties, Increased Work Loads

Businesses are now required to provide increased Client education and a clearer record of how Clients made their financial decisions in the suitability process

C$20M
Max FINTRAC penalty per very serious entity violation, a **40×** increase

8 → 30
FINTRAC penalties issued, 2021 vs 2025

C$177M
FINTRAC penalty imposed on Cryptomus, Oct 2025

C$500K
B.C. brokerage penalty ceiling under new rules from Oct 13, 2026 (C$250K for individuals)

+81%
Compliance costs in 2 years: C$416M → C$753M across 24 Canadian P&C insurers

100%
Ontario private mortgage files examined lacked a documented suitability assessment (up from 85%)

73%
Files with missing or inadequate risk disclosure (up from 48%)

47%
Homebuyers felt uncertain or concerned during the process

The Canadian compliance regulations define suitability as the obligation to ensure that a recommendation or product is appropriate for a client based on their objectives, risk tolerance, time horizon, financial situation, liquidity needs, and knowledge/experience.

Who this impacts

Starting with mortgages. We'll validate the solution with mortgage firms, then expand into other financial services where client understanding and suitability matter.

MORTGAGE COMPANIES
Brokers, lenders & administrators
Affordability, risk explanations and decision records

INSURANCE COMPANIES
Insurers, brokers & agents
Coverage needs, exclusions and recommendation records

INVESTMENT DEALERS
Dealers & financial advisers
Goals, risk tolerance, product fit and the reasons why

AUTO FINANCE INDUSTRY
Dealerships & finance providers
Payment commitments, financing terms and disclosures

BANKING INDUSTRY
Banks & credit unions
Product explanations, service interactions and complaint records

PAYMENTS & MONEY SERVICES
Payment providers & MSBs
Identity checks, transaction context and retrievable records

The Client needs to understand the various aspects of their potential financial decisions with regards to suitability. How can the Business optimize the Client experience?

THE SOLUTION · WHAT 4ORM IS CREATING

4orm Finance is building **4ormIQ** counselling-centered AI tools that plug into a Businesses existing apps and compliance systems. The Business provides the Client with a 'value-add' tool that allows the Clients to privately explore their **goals, circumstances and risk profile**, model outcomes and create a better understanding of short and long term risks. The Client chooses what information to share, providing the professional greater context for a better informed recommendation. This creates an **auditable record** for both the Business and the Client in the **suitability** and decision making process.



KEY BENEFITS FOR THE BUSINESS

How 4orm solves it: five problems solved

01
ASSESS SUITABILITY
Establish what suitable means for the individual before the recommendation is made.
BETTER DECISIONS

02
REDUCE RECONSTRUCTION
Create the decision record as the process happens instead of rebuilding it afterward.
DAYS OR WEEKS → HOURS

03
LOWER ADMIN COST
Less staff time chasing information, rebuilding files and preparing cases for review.
MORE CAPACITY

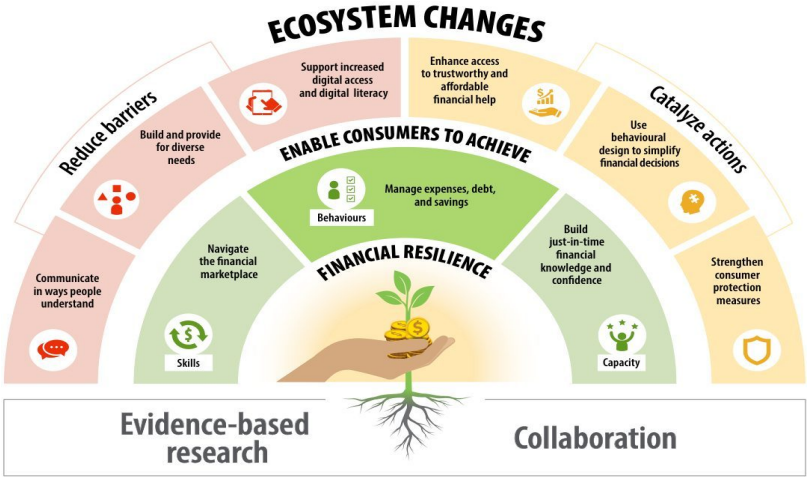
04
BETTER CLIENT EXPERIENCE
Clients come back when they feel educated and understood.
HIGHER RETENTION

05
REDUCE COMPLIANCE EXPOSURE
Clearer records and a more defensible process as penalties rise.
LOWER EXPOSURE

Better tools so clients understand how they reached their decisions.

CANADA'S DIRECTION

What regulators want, turned into a business workflow



FCAC National Financial Literacy Strategy 2021–2026 (graphic from deck, slide 8). No government endorsement implied.

01 Explore privately
Goals, concerns, scenarios and risks in a personal account.

02 Build understanding
Plain-language guidance makes the trade-offs easier to assess.

03 Share by choice
The client chooses what matters and what to share.

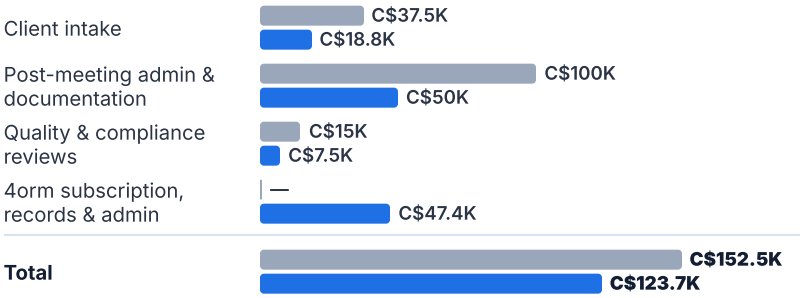
04 Support the professional
Richer context supports a more suitable recommendation.

05 Preserve the why
Reasoning and suitability evidence stay with the decision.

ILLUSTRATIVE BUSINESS VALUE

A targeted 18.9% lower workflow cost

Annual cost, illustrative firm: 1,000 decisions, 200 detailed reviews, C$50/staff hour



4orm Finance Cost Savings

C$28,850

Targeted annual capacity benefit after recurring 4ormIQ costs

2 hours → minutes

Advisers preparing clearer proposals with comparable tech (PPI / CapIntel)

Mortgage first. Broader delivery follows validated demand. Suitability, disclosure and anti-money-laundering duties differ by sector.

WHO WINS

Benefits

B For businesses

- Better suitability evidence and audit-ready records
- Less time on discovery and intake; less repeated paperwork
- Lower compliance costs and penalty risk, inside existing tools
- More informed recommendations from context the client chose to share
- Higher client trust and retention, plus a client value-add

C For consumers

- Explore a major financial decision privately, at their own pace
- Model outcomes and understand short- and long-term risks before committing
- Control over what they share with the professional
- Recommendations that fit their real goals and circumstances
- More clarity and confidence, with a record of why the decision made sense

Caveats. 4ormIQ is a proposed product concept; integrations, time savings and outcomes need pilot validation. The cost model combines Canadian and UK benchmarks, assumes a 50% net cut in selected labour tasks, and is not a measured 4orm result.

Sources cited in deck: FSRA 2025-26 (Ontario private mortgages), CSA/CIRO 2025, CMHC 2026, Torys 2026, FINTRAC 2025-26, IBC, Justice Canada, BCFSA, Ponemon/Globalscape 2017. Figures are penalty ceilings; samples and periods differ.